Research note 1

Why *Better LATE Than Nothing* Still Matters: Reflections on Guido Imbens (2010)

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Few developments have changed empirical economics as much as the growing emphasis on credible causal inference. Over the past three decades, economists have become increasingly concerned not only with whether two variables move together, but whether one actually causes the other. This shift, often referred to as the credibility revolution, has reshaped applied economics, placing research design at the centre of empirical work.

Guido Imbens has been one of the leading figures in this movement. In *Better LATE Than Nothing: Some Comments on Deaton (2009) and Heckman and Urzua (2009)*, he responds to criticisms of design-based methods and defends the growing use of randomized experiments and quasi-experimental approaches in applied research. The paper is short, but it raises questions that every empirical researcher eventually has to confront: What makes evidence credible? How much should we value internal validity? And how should economists think about evidence that applies only to a subset of the population?

This note is not intended as a comprehensive review. Rather, it highlights a few ideas from the paper that I found particularly useful and reflects on why they continue to matter.

The central debate

At the heart of the discussion is a tension that still shapes empirical economics today.

On one side are researchers who argue that economics should prioritize broad questions and structural models capable of informing policy across many settings. On the other are those who argue that without credible identification, even the most ambitious policy conclusions rest on uncertain foundations.

Deaton and Heckman worry that economists have become too enthusiastic about randomized experiments and other design-based methods. Their concern is not that these methods are incorrect, but that they often answer narrow questions and may not generalize beyond the specific setting being studied.

Imbens largely accepts this criticism. However, he argues that it addresses the second problem before solving the first. Before asking whether results generalize, economists first need confidence that the estimated relationship is genuinely causal. Without credible identification, debates about external validity become largely academic because the causal effect itself remains uncertain.

That strikes me as one of the paper's strongest arguments. Generalizability matters, but only after we have established that there is something meaningful to generalize.

Why randomization still matters

The defence of randomized experiments follows naturally from this perspective.

In observational data, individuals often select into treatment for reasons that are related to the outcome of interest. Those differences create selection bias, making it difficult to separate the effect of the treatment from the characteristics of the people receiving it.

Random assignment addresses this problem directly. By allocating treatment independently of potential outcomes, it removes many of the confounding factors that complicate observational studies. The resulting estimates are therefore much easier to interpret as causal.

Of course, this does not mean that experiments are flawless. Imbens is careful not to make that claim.

Experiments are powerful but not perfect

One aspect of the paper that I particularly appreciated is its balanced tone.

Deaton points out that randomized experiments can still suffer from poor inference, finite-sample problems, inappropriate standard errors, and specification searching. None of these concerns disappear simply because treatment is randomized.

Imbens acknowledges all of these limitations. His point, however, is that these are generally problems of implementation rather than identification. A poorly analysed experiment can certainly produce misleading results, but that should not obscure the larger advantage of a research design that successfully addresses selection bias in the first place.

This distinction is important because every empirical method has weaknesses. The relevant question is not whether a method is perfect, but whether it offers a more credible answer than the available alternatives.

Why LATE matters

The discussion of Local Average Treatment Effects (LATE) is another highlight of the paper.

Instrumental variables are widely used when treatment cannot be randomly assigned. Under the appropriate assumptions, the IV estimator identifies the average treatment effect for compliers, i.e., individuals whose treatment status changes because of the instrument.

This has often been criticised because it does not recover the average treatment effect for the entire population. Policymakers, after all, are usually interested in broad policy impacts rather than effects for a particular subgroup.

Imbens argues that this criticism misses the point. A precisely defined causal effect for a well-understood population is often more informative than an estimate claiming universal relevance but resting on implausible assumptions.

This argument is particularly compelling because it emphasizes the value of clearly defined and credible causal estimates. Applied researchers sometimes feel pressure to make broad claims. Yet there is value in being honest about what our estimates actually identify. Careful interpretation is not a weakness of empirical work; rather, it is one of its strengths.

Assumptions still require economics

One misconception about modern econometrics is that identification can be reduced to statistical techniques.

Imbens reminds readers that methods such as instrumental variables and regression discontinuity ultimately depend on economic reasoning. Assumptions like relevance, exclusion, and monotonicity cannot be established simply by running statistical tests. They require a convincing understanding of institutions, incentives, and the environment generating the data.

As someone interested in development economics and international trade, I found this particularly relevant. Many of the questions we study involve complex institutions and policy environments. Econometric tools help answer those questions, but they cannot replace careful thinking about the underlying economics.

Internal validity before external validity

Perhaps the idea that stayed with me most is Imbens' treatment of internal and external validity.

These concepts are often presented as competing objectives. Imbens instead treats them as complementary. Internal validity comes first because researchers need confidence that the estimated effect is genuinely causal. External validity follows through replication, theory, and evidence accumulated across different settings. Internal validity does not automatically deserve absolute priority in every research question; rather, Imbens argues that credible identification is normally a necessary starting point.

This seems like a practical way to think about empirical research. No single study can answer every policy question. Instead, knowledge develops gradually as multiple studies build on one another.

Conclusion

Reading *Better LATE Than Nothing* reminded me that good empirical research is rarely about finding the most sophisticated econometric technique. It is about asking a clear question, choosing a credible research design, and interpreting the resulting evidence honestly.

The paper also highlights something that is sometimes overlooked in methodological debates: uncertainty is unavoidable. Every empirical strategy has limitations, and no single method provides the final word on a policy question. The responsibility of the researcher is not to eliminate uncertainty completely but to be transparent about what can and cannot be learned from the available evidence.

More than a decade after it was published, Imbens' paper remains highly relevant. Its central message is modest but powerful: a carefully identified local estimate is often more valuable than a sweeping causal claim that cannot be convincingly defended.

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[1] *This note reflects my reading of Imbens (2010) and is intended as an informal discussion of its main ideas.*